RBC MORTGAGE DEFAULT RISK ANALYTICAL REPORT

Ontario / GTA Focus - Q2 2020 to Q4 2025

Prepared By Andrea Atkins

Table of Contents

Executive Summary

This report is examining the Royal Bank of Canada's (RBC) risk for mortgage default, focusing on Ontario and the Greater Toronto Area. From the period of 2020 to the end of 2025 RBC's mortgage impairment rate has increased continuously for 9 fiscal quarters after being on a decline for 2020-2022. For the majority of the time period studied, RBC's mortgages performed better than the leading non-bank lenders. RBC's impairment rate is currently 0.11% higher than the non-bank average creating a gap that did not exist before 2024. As the Bank of Canada raised its policy rates due to inflation, RBC's impairment rate eventually began increasing, with a delay tied to when individual mortgages come up for renewal. Just over half of RBC's mortgages, 50.8%, are expected to be renewed within the next 2 years where the majority of the mortgages began when interest rates were lower. Additionally, Ontario's mortgage arrears rate increased at a faster rate that the national average since 2023 which is consistent with the cost of housing in the province.

Key Findings

In the fourth quarter of 2025, the most recent quarter examined, RBC's total mortgage equaled to $454.35 billion. The impairment rate, showing the risk of mortgages not being repaid on time rose to 0.37%, increasing by 0.03% from the previous quarter, equivalent to a total of $1,681 million, an increase of $127 million compared to the previous quarter. Furthermore, RBC set aside 0.01% of its mortgage book as provision for credit loss meant to absorb loans it expects it would not fully recover. Data showed RBC's impairment rate is presently 0.11% higher than the arrears rate from non-bank lenders. This gap previously did not exist before 2024 at which point RBC's mortgages consistently outperformed non-bank lenders in this metric.

Mortgage Impairment Rate Trend (2020-2025)

The impairment rate shows how much of its loans the bank does not expect to be repaid on time on a quarterly basis. From 2020-2022 the impairment rate dropped from 0.16% - 0.09% in quarter 3 in 2022 and this point in the fiscal year there were lower interest rates and a better housing market. However, since the final quarter of 2023 the rate has been steadily increasing every quarter and has more than tripled by the end of 2025 sitting at 0.37% which is the highest in the past 5 years.

RBC vs Non-Bank Lender Arrears

Non-bank lenders include credit unions, mortgage finance companies and private lenders. These groups often have borrowers who have a higher risk of defaulting on loans. These borrowers generally do not qualify for a traditional mortgage from a bank.

- Mortgages generally were less risky for RBC. Their impairment rate was consistently below the non-bank's rate from 2020-2023.
- RBC's rate rose above the non-bank rate for the first time during 2024's first quarter and have been increasing ever since.
- By Q4 2025, RBC is 0.11% above the non-bank average according to the data. This surprisingly shows RBC, a major bank now carries more risk than the non-bank sector it is used to outperforming.

Impairment Rate vs Bank of Canada (BoC) Interest Rates

The Bank of Canada sets interest rates that affects mortgage rates across the country. The BoC raised its rates between 2022 and 2023 from 0.25%-5.00%, a sharp increase. RBC's impairment rate had a delayed reaction but overtime it steadily increased. Most likely due to the fact that most mortgages operate on fixed terms and will not be affected by the change until it is renewed. Subsequently, BoC has since reduced the policy rate from 5.00%-2.25% at the end of 2025.

Mortgage Renewal Exposure by Time Window

- 50% of RBC's mortgages renews within two years. 10.2% renews in 6 months and 11.6% in the following 6–12 months, combined with 29.0% during the 1–2-year period.
- Most of these mortgages originated when rates were far lower. A borrower renewing in the next 6–12 months likely locked in their current rate two to five years ago, when Bank of Canada rates were near zero. Renewing today means a higher payment.

Ontario vs National Mortgage Arrears

- For the majority of 2020–2023 Ontario's arrears rate was noticeably lower than Canada's, reflecting a strong local job market and rapid home-price appreciation. Ontario's arrears rate rose faster than the national rate in almost every quarter from late 2023 onward
- Ontario homeowners typically carry larger mortgage balances than the national average, so the same interest rate increase produces a bigger dollar-value payment shock — a plausible explanation for why Ontario is catching up to, rather than staying below, the national trend.

Predictions

2026 Fiscal Year

- The impairment rate will most likely keep rising after observing nine consecutive quarters of increases, the data suggests more stressed loans are still working their way into the impaired category.
- The gap versus non-bank lenders will likely persist or widen further in the short term, since RBC's rate has been accelerating faster than the non-bank benchmark in recent quarters.

2027 Fiscal Year

- The 1–2-year renewal category (29.0% of the mortgages, approximately $298 billion) is the largest risk found. How this performs at renewal will be a key factor affecting RBC's impairment rate through 2027.
- If Bank of Canada cut rates it should eventually ease renewal shock and could flatten or reverse the impairment trend, that relief is unlikely to show up in the data for two to four quarters after rates fall.

Recommendations

The following recommendations are based on the key findings in this report:

Prioritize hands-on outreach to the 1-2-year renewal category

Borrowers in this group should be contacted well before their renewal date to discuss payment scenarios, refinancing options, or extensions instead of waiting for a scheduled renewal notice.

Investigate the drivers behind the reversal versus non-bank lenders

An in-depth review of which loan types, mortgage products or borrower segments are driving this shift would help target interventions more precisely than broad measures.

Monitor Ontario/GTA exposure in comparison to other provinces

Considering Ontario’s arrears rate rise faster than other provinces and has larger average mortgage balances, region-specific indicators would allow RBC to react faster

Data Sources

- RBC mortgage balance, impairment, and impaired loan figures: RBC Quarterly Supplementary Financial Information (SFI) disclosures.
- Bank of Canada policy interest rate: Bank of Canada Financial Stability Indicators dashboard.
- Non-bank lender arrears and industry-wide renewal exposure benchmarks: CMHC Residential Mortgage Industry Data Dashboard.
- Provincial (Ontario) and national mortgage arrears rates: Canadian Bankers Association arrears data.
- Reporting period: Q2 2020 through Q4 2025 (impairment, arrears, and rate data); Q2 2020 through Q1 2025 (Ontario vs. Canada arrears, per latest available CBA release).

Glossary

Term	Definition
Impairment Rate	The percentage of RBC's mortgages that is considered unlikely to be fully repaid under the original terms. It is the main measure of mortgage credit risk used throughout this report.
Impaired Loan	A mortgage where the lender no longer expects to collect all payments and interest owed on time, usually because the borrower has fallen significantly behind on payments.
Arrears / 90+ Day Arrears	A loan is "in arrears" when a scheduled payment has been missed. "90+ day arrears" means the borrower is more than three months behind, a common industry metric for serious payment trouble.
Non-Bank Lender	A mortgage lender that is not a bank, such as a credit union, mortgage finance company, or private lender. Non-bank lenders often aid borrowers who don't qualify for bank financing and can carry different risk profiles.
Bank of Canada (BoC) Policy Rate	The interest rate set by Canada's central bank that influences the cost of borrowing across the economy, including variable rate mortgages and renewal rates on fixed rate mortgages.
Mortgage Renewal	The point at which a fixed term mortgage comes up for a new term. Borrowers who took out mortgages when rates were low may face a payment increase when they renew at today's rates.
Renewal Exposure	The share of a lender's mortgage book that will come up for renewal within a given time window. A large share renewing during a period of high interest rates signals potential future payment stress.
Provision for Credit Loss (PCL)	Money a bank sets aside in advance to cover mortgages it expects will not be repaid in full. A rising PCL signals that a bank anticipates more loan losses ahead.